

Olam Agri: evidence before irreversible expansion

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The decision

Approve a scoped 90-day evidence and controlled commercial pilot programme. Finance should first reconcile the data room and approve a costed envelope, cash limits and minimum economically material effect. Defer an unconditional owned-asset commitment. Public data do not establish country-level Olam orders, attainable shares, delivered margins, taxes or funding. This package makes those missing facts visible.

Why the capital story changes

Olam Agri FY2025 revenue was USD28,666 million and EBIT was USD703.7 million, yielding a derived margin of 2.4548%. Sales volume rose 19.1% and revenue 15.4%, while EBIT fell 8.0%. The annual report, printed pages 10-11, provides this comparable USD company perimeter. Handled tonnage of 49.474 million differs from sales volume of 53.740 million. Olam Group SGD figures and its H1 2026 continuing operations must not be assigned to Agri.

After the 30 June 2026 CFG share issuance, SALIC held 81.81% and Olam Group 18.19%. The About page's lower 81.11% text conflicts with the dated transaction evidence; the conflict remains recorded. Ownership does not guarantee an order, funding or a government procurement preference.

The inherited Nigeria NGN100 billion sales screen produces annual uplift of NGN0.47 billion, a one-time sales-day cash proxy of NGN1.9178 billion, and three-year NPV of minus NGN2.0645 billion against NGN4.2 billion initial capital at the chosen 28% hurdle. It remains a screening case rather than company guidance. Production economics must replace its additive sales growth, overlap-prone leakage penalties and seven-sales-day proxy with measured orders, procurement costs and actual AR, inventory and AP.

Where to learn

The atlas contains 193 UN members and two observer states, with territories indexed separately. Every country has a current-presence status, product and route hypothesis, entry mode, disposition and next evidence gate. Ten diligence priorities are Nigeria, Ghana, Senegal, Cameroon, Mozambique, South Africa, India, Vietnam, Brazil and Saudi Arabia. All 195 country financial cases remain threshold-only, with unknown company cash values left blank.

Nigeria tests semolina and edible oils as separate cohorts. Ghana and Senegal test usable output and service; Cameroon and Mozambique test availability, credit and cash tickets; South Africa examines industrial contracts. India, Vietnam and Brazil test contracted origination and routes. Saudi Arabia requires independently bankable commercial offtake. Existing capability supports a test, without establishing incremental profit.

Financial discipline

Six unweighted worlds connect orders, costs, stock days, capacity and hurdle rates. No complete 25-year path is labelled most likely. OECD-FAO's 2026-2035 outlook is an external benchmark; extensions beyond 2035 are chosen and bounded. UN WPP2024 medium population paths are external projections, not product demand.

The normalized 25-year project templates use constant 2026 USD, staged capital, commissioning ramps, tax-loss carryforward, capital-cohort depreciation, maintenance, replacement and correctly based working capital. The final year includes 90% NWC recovery and no perpetual franchise value. Managed owned processing has NPV of minus USD1.80 million and peak annual funding need of USD22.56 million. Its operating break-even is 33,333 tonnes, compared with zero-NPV initial annual orders of 104,862 tonnes. These are chosen examples, not Olam or country valuations; monthly seasonal cash may require more funding.

Proof, governance and leadership action

Days 1–15 reconcile entity and data. Days 16–30 pre-register the counterfactual, statistical power and cost. Days 31–60 test. Days 61–75 verify cash and transferability. Days 76–90 decide whether to expand, resize, wait or stop. G0–G7 cover perimeter, legal access, customers, contribution, capacity, resilience, cash and replication. Legal and liquidity failures override a demand narrative.

The primary outcome is incremental paid contribution after service, trade and cannibalisation, accompanied by sustained repeat and funding evidence. Sample size must derive from baseline variance, the minimum economic effect, clustering and attrition. No actual Olam treatment effect or pilot budget is asserted.

The executed aggregate food-supply regression offers only a small holdout improvement and is rejected for investment forecasting. Chosen stress quantiles are not calibrated probabilities. The proposed adaptive framework applies established regret, causal measurement and information-value methods; it does not claim a new theorem or a validated optimal global allocation.

Request customer orders, gross-to-net prices, product and route costs, plant constraints, monthly inventory and credit balances, tax and FX records. Appoint Finance, Treasury, Legal, Operations and Marketing owners. Authorize a costed proof programme, challenge its release criteria, and return in 90 days with measured contribution, repeat, cash and a specific next commitment.

Source IDs: CO_AR, CO_OWN, CO_FACT, UN_WPP, OECD and BASELINE. Calculation IDs: C-LEGACY, C-DCF-plant-managed, C-THRESHOLD and C-OLS. The companion source, assumption and calculation registers provide exact URLs, pinpoints, units and code paths.